

Banner Corporation (NASDAQ: BANR) Pacific Northwest community bank	Rating: BUY Price Target: \$82.02 Upside: +21.1%	Price: \$67.76 As of April 23, 2026 P/E: 11.4x ROE: 10.0% Mkt Cap: \$2.30B
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Situation

Banner Corp (BANR) is a \$16.4B-asset Pacific Northwest community bank trading at **11.4x trailing earnings**, a discount to its regional-bank peers even though it has the **highest profitability in the peer group** (ROE 10.04%, ROA 1.19%). The market is pricing BANR like an average regional bank exposed to commercial real estate (CRE) stress. The financials point the other way: BANR returned **+32.8% over 5 years vs. +11.7% for the KRE ETF** and has an **11.9%** equity/assets ratio. Recent growth has been largely organic. Its last acquisitions (Skagit Bancorp in 2018 and AltaPacific Bancorp in 2019) are well behind it, so BANR is not in the middle of a merger integration, unlike COLB after its merger with Umpqua.

Investment Thesis

- Peer-leading profitability trades at a discount.** BANR's ROE of 10.04% is **43% higher than COLB's** (7.02%) and **37% higher than HFWA's** (7.33%), yet BANR trades at 11.4x vs. a peer average of 13.5x. Higher-quality earnings should trade *at or above* peers, not below.
- Past acquisitions are well behind it.** Banner's last bank acquisitions closed in 2018 (Skagit) and 2019 (AltaPacific), and its reported goodwill has not changed since 2019. Unlike COLB (post-Umpqua merger), BANR is not absorbing a large combination; its loans and deposits come from community markets across Washington, Oregon, California and Idaho. Steady, relationship-based franchises like this are what acquirers typically pay premiums for.
- Capital strength provides downside protection.** Equity/assets of 11.9% gives BANR a meaningful capital cushion, supporting the dividend and opportunistic buybacks and, if regional-bank M&A picks up, flexibility to be either an acquirer or a target.
- Dividend yield with runway.** The current yield of 3.09% is well covered (payout ratio < 50% of trailing EPS), providing income while waiting for a re-rating.

Near-Term Catalysts (6-12 months)

- Regional-bank M&A activity resumes → BANR could command a premium as a scarce high-ROE PNW franchise (strategic optionality).
- Fed rate cuts → NIM expansion if deposit costs re-price faster than floating-rate loans.
- CRE stress proves smaller than feared → multiple re-rating as the regional-bank risk premium compresses.
- Continued quarterly results that keep BANR's ROE ahead of peers.

Valuation — Triangulation to Price Target

Method	Input	Multiple	Implied Price	Upside
Peer P/E re-rate	EPS \$5.94	13.5x (peer avg)	\$80.26	+18.4%
Normalized P/E	EPS \$5.94	13.5x (community-bank norm)	\$80.19	+18.3%
P/B re-rate (quality adj.)	BV \$57.08	1.5x (10% ROE bank)	\$85.62	+26.4%
Blended Price Target			\$82.02	+21.1%

Price target is a simple average of the three methods. The normalized P/E is a fixed 13.5x assumption for a typical community bank, not BANR's own historical average. Because it is close to the peer average, the two P/E methods give nearly the same answer, so the P/B method and the separate takeover analysis are the real cross-checks.



Risks & Mitigants

Risk	Magnitude	Mitigant
CRE exposure — PNW office/retail stress	Medium	Community-bank CRE books tend to be smaller loans, often owner-occupied, with a different risk profile than money-center office exposure. CRE concentration was not modeled in this memo.
Deposit outflow / funding cost pressure	Medium	Loan/deposit of 84% (fiscal 2025); community-bank core deposits tend to be less rate-sensitive than money-center deposits.
Regional-bank sector contagion (SVB-style)	Low	Equity/assets of 11.9% vs. SVB ~7%; deposits are spread across community markets rather than concentrated in one industry, as SVB's were.
NIM compression if Fed holds	Medium	BANR's estimated NIM (3.59% of assets) is above COLB (3.00%) and HFWA (3.22%); compression would hit peers too, so BANR's relative position should hold.

Metrics Snapshot vs. Peers

Metric	BANR	COLB	HFWA
Total Assets	\$16.35B	\$66.83B	\$6.97B
ROA	1.19%	0.82%	0.97%
ROE	10.04%	7.02%	7.33%
Equity / Assets	11.90%	11.73%	13.23%
P/E (trailing)	11.4x	12.9x	14.1x
P/B	1.19x	1.12x	1.02x
Dividend Yield	3.09%	4.92%	3.51%
Beta	0.84	0.68	0.48

Bottom Line

BUY BANR to an \$82.02 12-month target (+21.1% upside). The market is applying a broad regional-bank discount to a franchise with peer-leading profitability. Three valuation methods point to a similar range. Capital strength limits downside; profitability and M&A optionality define upside. At the April 23, 2026 price, the risk/reward is favorable.

Analyst: Isaac Lefohn | **Date:** April 23, 2026 | Oregon State University, B.S. Finance (expected December 2027)

Text and formatting revised October 2026, with two corrections: BANR's ROE lead over HFWA is 37% (previously misstated as 24%), and loan/deposit now uses fiscal 2025 net loans (84%, previously 78%). Price target and valuation figures unchanged from April 23, 2026.

Disclosures: Analyst did not own BANR as of April 23, 2026. This memo is for academic and portfolio-demonstration purposes; it is not investment advice. Data sources: SEC EDGAR XBRL companyfacts API (fiscal 2025 10-K data) and Yahoo Finance (market data as of April 23, 2026).